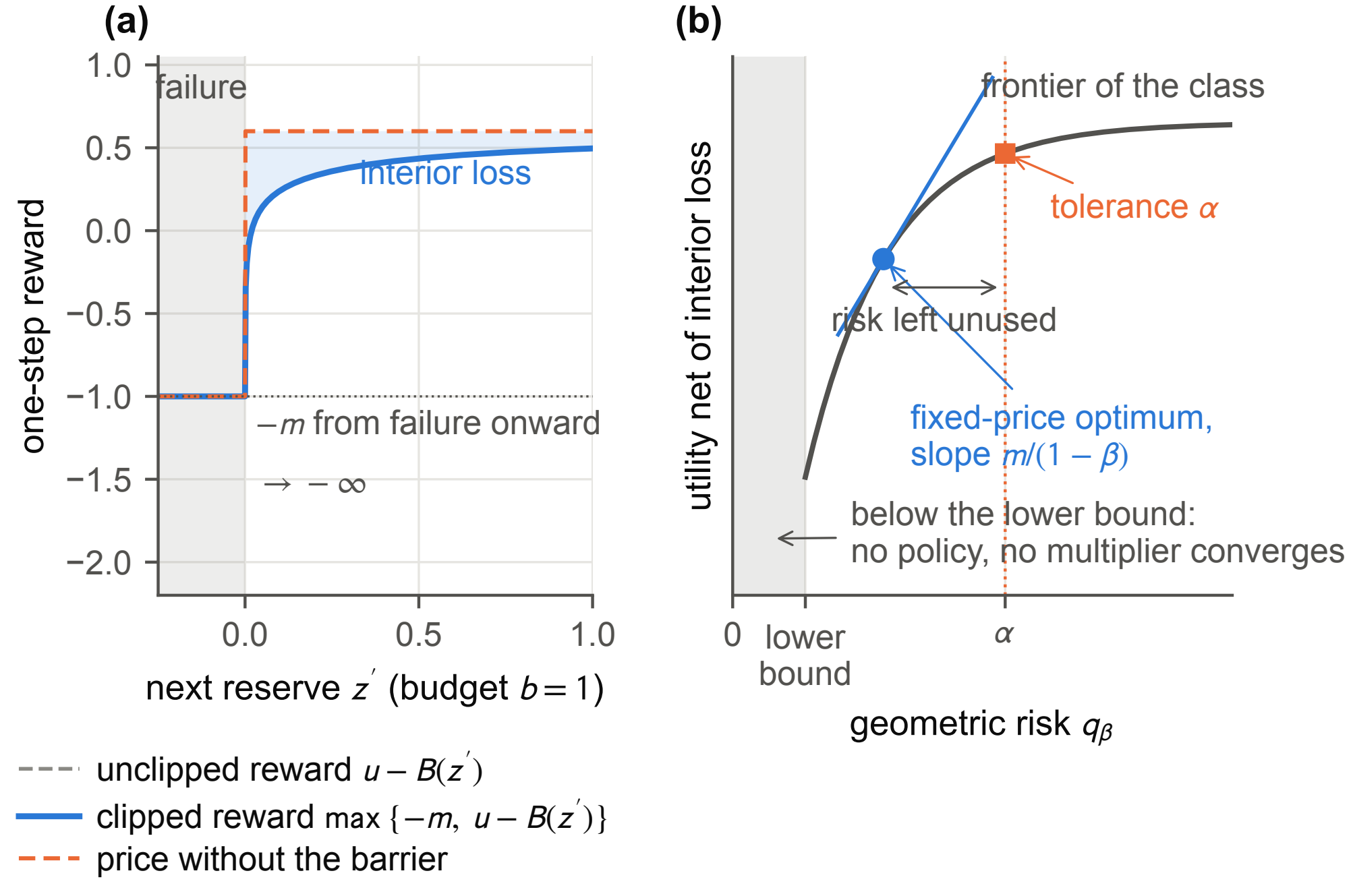

(a)
failure
interior loss
−m from failure onward
→ −∞
one-step reward
next reserve z′ (budget b = 1)
unclipped reward u − B(z′)
clipped reward max {−m, u − B(z′)}
price without the barrier
(b)
frontier of the class
tolerance α
risk left unused
fixed-price optimum,
slope m/(1 − β)
below the lower bound:
no policy, no multiplier converges
utility net of interior loss
lower bound
geometric risk q_β